Type MS · Oligopoly: features, collusion and effects

Answer 1 of 17 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$214\,100 - \$211\,600}{\$211\,600}$ x 100 **(1)** **OR** $\frac{\$2\,500}{\$211\,600}$ x 100 **(1)** Award 1 mark for correctly calculating the percentage change = 1.18% **(1)** Award 2 marks if the percentage change in profit is correctly calculated as 1.18% even if no calculations are shown Award 1 mark if the percentage change in profit is calculated as 1.18 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 1 of 17 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are five firms dominating the market for petrol in Uganda • Having a distinctive logo and colours for the brand of petrol allows the offering to customers to be different from competitors • The petrol companies compete through non-price competition, for example excellent customer service is offered by Vivo Energy whereas Total Energies aims to improve its impact on the environment • As a result of having something different about the product, such as Stabex International may be able to keep customers coming back to buy petrol from its pumps, rather than going to competitors such as Nile Energy or Hass Petroleum • Barriers to entry due to very high start-up costs mean it is unlikely new firms will be easily able to enter the market for petrol in Uganda, again showing features of an oligopoly

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 1 of 17 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean Řešení is able to make higher profits because it can charge higher prices to the businesses in Prague • It may have a large increase in customer numbers because there are 8.5% more businesses in Prague than Brno, meaning a larger potential client base • Attracting some of these customers would increase revenue and therefore, potentially increase profit as well • By operating more than one office, Řešení would be spreading its risks, rather than just relying on the original location and businesses in Brno • Due to its earlier success, Řešení may have more access to finance to be able to expand the firm • It may be possible for Řešení to benefit from economies of scale, such as being able to spread advertising costs over a larger number of services **AO4** • However, the small team of accountants in Řešení is already very busy so may be unable to offer the same quality service in Prague as well • Therefore, Daniella may need to employ more accountants to meet the needs of new customers in Prague, meaning additional expense for the firm • It may require some of the accountants in Brno to travel to Prague to help Řešení achieve an excellent reputation there too • As a result, some employees may be demotivated if they do not like the changes and requirement to travel, which could reduce the quality of service to existing customers in Brno • This could cause diseconomies of scale due to reduced productivity or if Daniella has difficulty coordinating/controlling the firm in more than one location, especially as it would be over 200 km apart • Thus, average costs may increase due to less productive workers and/or revenue to decrease due to dissatisfied customers/damaged reputation • There would be more competition located in Prague, meaning it may be difficult to attract custom in spite of the higher number of businesses located there • It would take time and money to open the new office and raising finance may be difficult as Řešení is only a small firm, meaning that making a profit may take a long time

Type MS · Oligopoly: features, collusion and effects

Answer 1 of 17 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

	• Therefore, it may depend on the strength of existing competitors and the ability of Řešení to manage the expansion

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 1 of 17 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

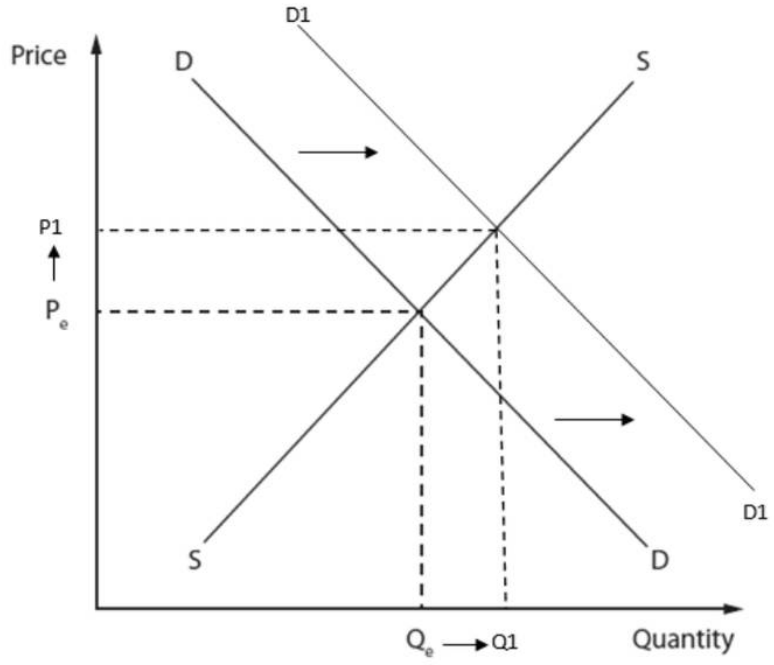
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 2 of 17 · Question 1 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 20 and quantity supplied is 50 and 1 mark for correct calculation of excess supply 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess supply is correctly calculated, even if no lines are shown on diagram or calculation shown	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion between firms reduces competition and means firms cooperate with one another instead • Cooperation between firms often means they agree to fix prices and therefore restrict competition • Consumers would therefore pay higher prices for laptops and games consoles • If firms make more profit as a result, it will be harder for new firms to enter the market, making competition in the industry even less likely • Online electrical equipment firms may collude by restricting availability • This means they may only make a limited quantity of electrical items available, encouraging consumers to make more hasty purchasing decisions at higher prices

Type MS · Oligopoly: features, collusion and effects

Answer 3 of 17 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 3 of 17 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • An oligopolistic market is one where there are a few dominant firms, such as Albert Heijn, Super Unie and Jumbo (which have 83.5% of the market between them) • Due to brand names and advertising, set up costs are likely to be high, therefore creating barriers to entry for any new firms trying to compete • High profits may be enjoyed by the dominant firms such as Albert Heijn, Super Unie and Jumbo because of these barriers to entry • The dominant firms can benefit from economies of scale because they are large scale producers. As output rises, average costs decrease, further increasing profits (and dominance) • Small firms can still compete and survive by specialising and/or catering for niche markets, which are not served by the dominant firms **AO4** • However the supermarkets may have to compete via non price competition such as advertising, loyalty schemes, customer service and longer opening hours as they are likely to want to avoid price wars, which can be expensive • As the providers are interdependent, if one heavily invests in a major advertising campaign, it is likely to have an impact on the others' market share • The market is constantly changing and so dominance may only continue if the firms continue to develop new ways of attracting custom • Successful small firms run the risk of being taking over or crowded out by dominant supermarkets • It may depend upon how market trends change with regards to use of technology and online grocery shopping. • If the supermarkets in the oligopoly cannot keep up, they may lose dominance or be pushed from the market altogether

Type MS · Oligopoly: features, collusion and effects

Answer 3 of 17 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 3 of 17 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

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4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 20 and quantity supplied is 50 and 1 mark for correct calculation of excess supply 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess supply is correctly calculated, even if no lines are shown on diagram or calculation shown	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion between firms reduces competition and means firms cooperate with one another instead • Cooperation between firms often means they agree to fix prices and therefore restrict competition • Consumers would therefore pay higher prices for laptops and games consoles • If firms make more profit as a result, it will be harder for new firms to enter the market, making competition in the industry even less likely • Online electrical equipment firms may collude by restricting availability • This means they may only make a limited quantity of electrical items available, encouraging consumers to make more hasty purchasing decisions at higher prices

Type MS · Oligopoly: features, collusion and effects

Answer 4 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 4 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • An oligopolistic market is one where there are a few dominant firms, such as Albert Heijn, Super Unie and Jumbo (which have 83.5% of the market between them) • Due to brand names and advertising, set up costs are likely to be high, therefore creating barriers to entry for any new firms trying to compete • High profits may be enjoyed by the dominant firms such as Albert Heijn, Super Unie and Jumbo because of these barriers to entry • The dominant firms can benefit from economies of scale because they are large scale producers. As output rises, average costs decrease, further increasing profits (and dominance) • Small firms can still compete and survive by specialising and/or catering for niche markets, which are not served by the dominant firms **AO4** • However the supermarkets may have to compete via non price competition such as advertising, loyalty schemes, customer service and longer opening hours as they are likely to want to avoid price wars, which can be expensive • As the providers are interdependent, if one heavily invests in a major advertising campaign, it is likely to have an impact on the others' market share • The market is constantly changing and so dominance may only continue if the firms continue to develop new ways of attracting custom • Successful small firms run the risk of being taking over or crowded out by dominant supermarkets • It may depend upon how market trends change with regards to use of technology and online grocery shopping. • If the supermarkets in the oligopoly cannot keep up, they may lose dominance or be pushed from the market altogether

Type MS · Oligopoly: features, collusion and effects

Answer 4 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 4 of 17 · Question 4 part c · 12 marks

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Type MS · Oligopoly: features, collusion and effects

Answer 5 of 17 · Question 1 part i · 6 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

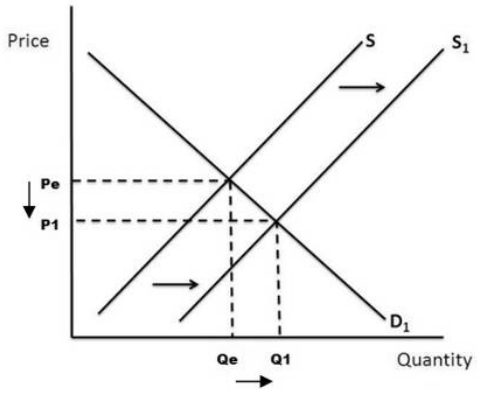
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Oligopoly: features, collusion and effects

Answer 5 of 17 · Question 1 part i · 6 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 5 of 17 · Question 1 part i · 6 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 5 of 17 · Question 1 part i · 6 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part i in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 5 of 17 · Question 1 part i · 6 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

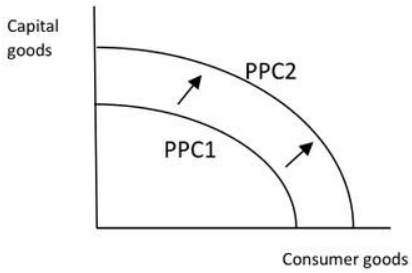
Type MS · Oligopoly: features, collusion and effects

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **B** Skilled labour	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Large firms dominate the market	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for correctly labelling the axes Award 1 mark for drawing PPC1 closer to the axes than PPC2 Award 1 mark for drawing PPC2 showing positive economic growth from PPC1  	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The demand for labour is likely to be affected by the wage rate, derived demand, productivity and the availability of substitutes • Machines provide a substitute for labour in many jobs and this factor is increasing • Google has developed an automated assistant meaning jobs currently performed by labour in call centres may also be replaced by machines • If machines can do the job more efficiently and/or cheaper then firms are likely to want to switch to machines, reducing the demand for labour • The more technology advances, the more substitutes there will be for labour and so the demand for labour is likely to continue to decrease

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Externalities are the spillover effects of consumption or production • Negative externalities occur when a cost is imposed on a third party by those organising or paying to attend fireworks displays • Some former military personnel experience negative externalities because they suffer from being reminded about experiences as a result of the loud noises even though they are not choosing to be consumers of the fireworks • This means the fireworks are providing a negative externality/external cost to these former military personnel as well as to animals that are frightened by the 'bang', 'pop' and 'whizz' sounds • As firework displays may take place for many reasons, private and public events and to celebrate religious occasions, the negative externality may be experienced at many times of year **AO4** • However, people who see and hear fireworks without paying to attend a display or intentionally being a consumer, may be experiencing external benefits • Positive externalities occur when a benefit is enjoyed by a third party • People away from the fireworks display may enjoy watching the colourful sparks in the sky but not the 'bang', 'pop' and 'whizz' noises • It is possible that a third party may experience both positive and negative externalities at different times • It may depend how long the fireworks last, the time of day they are displayed or how close they are to the third party

Type MS · Oligopoly: features, collusion and effects

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark

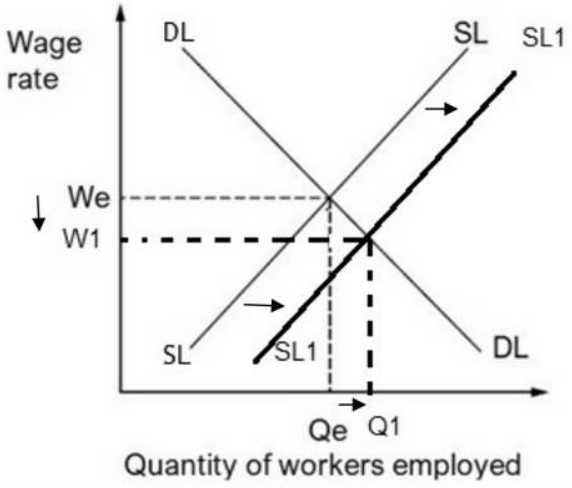
Type MS · Oligopoly: features, collusion and effects

Answer 7 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **B** Flexibility	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Price inelastic	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for rightward shift of labour supply, labelled Award 1 mark for lower equilibrium wage rate, labelled Award 1 mark for higher equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 7 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion is where a firm in an oligopoly cooperates with its competitors • It is an anti-competitive practice because it makes firms such as those in the pharmaceutical industry, act like a monopoly • This means it is more difficult for new firms to enter the market and reduces the choice for consumers • This could make it more difficult for consumers to find cheaper medication or to have less choice of the firm they buy from • Collusion to fix prices could lead to the pharmaceutical firms receiving higher profits at the expense of the consumer • One such example of price fixing for prescribed medication was the consumer paying $4.70 instead of just $0.13 per tablet

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 7 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • By providing funding for roads in Cambodia, repairs could be made to the > half of the 6,000 km of roads in need of maintenance • This could improve the safety standard of roads and lead to fewer accidents, meaning more people are available to work in the Cambodian economy • It could also allow construction of new roads that can cope with increased business in Cambodia • This would most likely create positive externalities for Cambodian businesses that could benefit from cheaper/quicker transportation of goods • This would mean business could continue to grow in Cambodia, providing more revenue for the government through taxes **AO4** • However, the cost of improving the roads means less government revenue would be available for other things such as health and education • Therefore the Cambodian economy may not benefit as much from public sector investment to improve the roads as if the money was invested elsewhere • There is a high number of roads 'of poor quality' meaning it may take a long time for the Cambodian economy to benefit from the public sector investment • If the Cambodian economy continues to grow, further construction of roads may be needed and the public sector investment may not be able to keep up with the growth

Type MS · Oligopoly: features, collusion and effects

Answer 7 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 7 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Oligopoly: features, collusion and effects

Answer 8 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 01 · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{87\,100 - 80\,750}{80\,750} \times 100$ **OR** $\frac{6\,350}{80\,750} \times 100$ **(1)** Award 1 mark for correct percentage change = 7.86% **(1)** Award 2 marks if percentage change is accurately calculated as 7.86%, even if no calculations are shown Award 1 mark if the answer given is 7.86 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large firms • There are a few large trekking firms and a few smaller ones • Differentiation is a feature of an oligopoly • The small trekking firms differentiate by offering different routes and guide skills such as speaking different languages • By offering something different the small trekking firms are able to use non-price competition to attract a share of the tourists who wish to trek in Nepal • Barriers to entry are a feature of an oligopoly • Permits are required by trekking firms but are expensive and this is a possible barrier to entry for new firms

Type MS · Oligopoly: features, collusion and effects

Answer 8 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 01 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 8 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 01 · extract 3 of 4 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Indian Government wants to sell the airline Air India to private investors • This means that the airline would no longer be controlled by the government and would be more likely to pursue different objectives, such as making a profit • It may mean Air India would be more likely to reverse the current loss and to be able to pay for its fuel • Private investors may bring increased investment to the airline, meaning it is able to offer increased flights to destinations in countries in Africa and the rest of Asia • This would increase Air India's competitiveness with other airlines already flying to a higher number of destinations • Therefore, this would complement a new objective to make a profit • This is more likely to be achievable as the new owner(s) may have more experience and skills in managing an airline than the government **AO4** • However, the Indian Government has reduced the debt faced by Air India in the past and therefore could leave the airline struggling to meet its costs without assistance from the state • There is already a lot of competition from other airlines meaning the changes may not lead to benefits for Air India; it may be out of the airline's control • As oil companies have struggled to receive payment for fuel in the past, they may be reluctant to supply the firm, even with new owners • This could mean that Air India needs to prioritise different objectives before looking to make a profit and/or establish new routes • It may depend on the level of investment from the new private owner(s) as well as their personal objectives • In the short term it may be more difficult for Air India to make a profit but this may be easier in the long term if the private owner(s) can use their skills and experience to the benefit of the airline

Type MS · Oligopoly: features, collusion and effects

Answer 8 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 01 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increase in female participation A is not correct because this would lead to a decrease in the supply of labour B is not correct because this would lead to a decrease in the supply of labour D is not correct because this would lead to a decrease in the supply of labour	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** Niche A is not correct because this is where there is one dominant seller in the market B is not correct because this relates to the demand and supply of labour D is not correct because this does not relate to manufacturing to customer requirements	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 000 + $115 000 (1) Award 1 mark for correct total variable costs = $127 000 (1) Award 2 marks if total variable costs are correctly calculated as $127 000, even if no calculations are shown Award 1 mark if the answer given is 127 000 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition Lowest legal amount paid to employees Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason There are finite/limited resources **(1)** therefore demand for resources is greater than the supply of them **(1)** Accept any other appropriate response.	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price decrease would increase quantity demanded **(1)**. A decrease from $2.32 to $2.22 results in more units **(1)** because it becomes more competitive compared to substitutes **(1)** • A price increase would decrease quantity demanded **(1)**. An increase from $2.32 to $2.42 results in fewer units **(1)** because there would be a movement along the demand curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • An oligopoly is where there are a few dominant firms, such as Vodacom, Airtel and Tigo (which have 86% of the market between them) • As a result of their dominance, these firms may be able to benefit from economies of scale and therefore enjoy lower average costs. They may pass these lower costs on to consumers in the form of lower prices • Firms like Vodacom may also be able to afford to use profits for research and development (R&D) which may lead to a better quality telecoms services for consumers • The firms in the telecoms oligopoly may try to compete in price wars and keeping prices low would benefit the consumer • They may also offer additional services to consumers who have subscribed to their networks in an attempt to gain market share from competitors **AO4** • However, if the telecoms firms have high costs due to competing via non-price competition such as advertising, they may not be able to offer low prices to consumers • Such costs may also lead to fewer firms in the market. For example Smart Telecoms had to leave the market because it could not compete with the larger firms • This would mean there are fewer firms left to compete for market share and therefore there would be less choice available for consumers • Even the successful small firms run the risk of being taken over or crowded out by dominant telecoms providers. This may be the case with the merger between Tigo and Zantel • This may increase the barriers to entry as it will be difficult for new firms to enter the market to compete with the successful, dominant firms, meaning even less choice for consumers • The firms in the oligopoly may collude in order to restrict choice and/or price competition, again causing a disadvantage to consumers

Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 9 of 17 · Question 2 part h · 9 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Luxury A is not correct because the percentage changes are not the same C is not correct because the percentage change in quantity is positive D is not correct because the percentage change in quantity is greater than the percentage change in income	**(1)**

Question number	Which one of the following is the formula for social benefits? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Private benefits + external benefits A is not correct because it does not include any third-party effects B is not correct because it includes costs D is not correct because this is not the formula used to calculate social benefits	**(1)**

Question number	What is meant by the term trade union? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to an organisation for employees and 1 mark for reference to protecting the interests of members An organisation for employees **(1)** that aims to protect the interests of its members **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate the average cost per unit (AC) for the firm when it makes 3,000 units. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation ($6 200 + $3 550) / 3,000 **(1)** Award 1 mark for correct average cost per unit (AC) = $3.25 **(1)** Award 2 marks if average costs per unit is correctly calculated as $3.25, even if no calculations are shown Award 1 mark for 3.25, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one way that high start-up costs can be a barrier to entry. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the way and 1 mark for development of the way • If a large amount of money is needed to set up a business **(1)** many potential competitors will not be able to raise/borrow such a large amount **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question number	Explain one disadvantage of this type of market structure for UK consumers. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Firms in an oligopoly may collude with one another **(1)** Therefore, the supermarkets may fix prices for groceries **(1)** meaning consumers would have to pay higher prices **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour involves breaking down the production process into smaller tasks • Each worker specialises in only one task, such as handling the phone screen, checking the phone works and packaging the phone ready to ship to the customer • By specialising, efficiency is improved because workers can conduct tasks quicker and with more accuracy • This leads to an increase in productivity and lower costs of production for Foxconn Technology • Workers do not need to waste time moving between tasks and so greater efficiencies are created, again lowering production costs **AO4** • However, tasks such as checking the iPhone works is likely to be repetitive and could be very boring for the worker, meaning they may become poorly motivated • Therefore, mistakes may be made leading to the need for part of the production process to be repeated, reducing productivity • This could therefore increase the cost of production and reduce the profit made by Foxconn Technology • Problems may occur if one part of the production process fails. For example, if a broken phone screen is found, the phone cannot progress to the stage where it is packed to ship to the customer • This may be more likely due to the number of tasks that production is divided into with 270,000 workers • Specialisation may cause problems if a worker is absent and no one is able to take their place due to a lack of the specialist skill

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 10 of 17 · Question 2 part f · 3 marks

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question number	Which one of the following is the definition of a merger? **Answer**	Mark

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 11 of 17 · Question 2 part a · 1 mark

2023 JAN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	**Mark**

Type MS · Oligopoly: features, collusion and effects

Answer 12 of 17 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 261 - (58 + 64 + 79) **(1)** Award 1 mark for correct excess supply = 60 **(1)** Award 2 marks if excess supply is correctly calculated as 60 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market dominated by a few large firms • Airline passengers will have a choice over which airline they fly with because the firms in the oligopoly will be competing with one another to gain market share over their competitors • This means airlines such as Emirates may launch new routes or offer flights to different locations in order to attract more customers • Customers may also be offered lower prices and better quality of service • This is as a result of possible price wars between the airlines and/or non-price competition where the passenger's enjoyment of the flight is the focus of the airline when trying to increase custom

Type MS · Oligopoly: features, collusion and effects

Answer 12 of 17 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 12 of 17 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour. **Indicative content**
(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product (derived demand), productivity and availability of substitutes, such as machines • The greater the demand for a good or service, the greater the demand for labour is likely to be • This means that more security staff are likely to be demanded to control spectators at sporting events or at music festivals because there is a greater demand from fans to watch the event • As there is a greater demand for food from those celebrating special holidays, more supermarket staff are likely to be demanded to sell goods to these customers at certain times of the year • Similarly, if there is less demand for a service, such as at a football stadium when no matches are being played, there will be less demand for labour, such as security staff • As a result, the demand for labour is affected considerably by derived demand **AO4** • However, even with an increase in demand for some goods and services, machinery may be substituted to meet the additional demand • This means that the demand for labour would not always increase due to derived demand • It is also possible that employees may be more productive under certain circumstances, meaning they can meet additional demand for goods and services without there being an actual increase in the demand for labour • At the same time, high levels of productivity may mean the firm requires fewer workers as costs can be reduced. This would again have a significant effect on the demand for labour • The advancement of technology has seen labour being replaced by machines in many industries, such as hospitality and customer services, as well as manufacturing • Although, the demand for labour is likely to increasingly be affected by the availability of substitutes. E.g. the availability of substitutes would be limited for security at music festivals and sporting events • The significance of derived demand may depend on the industry, as some work may be conducted by machines instead • It may also depend on the extent to which labour is needed to develop, build and maintain machines that have been used as substitutes for labour because this could reduce the effect this factor has on the demand for labour

Type MS · Oligopoly: features, collusion and effects

Answer 12 of 17 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 13 of 17 · Question 1 part d · 1 mark

2023 NOV · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 13 of 17 · Question 1 part d · 1 mark

2023 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

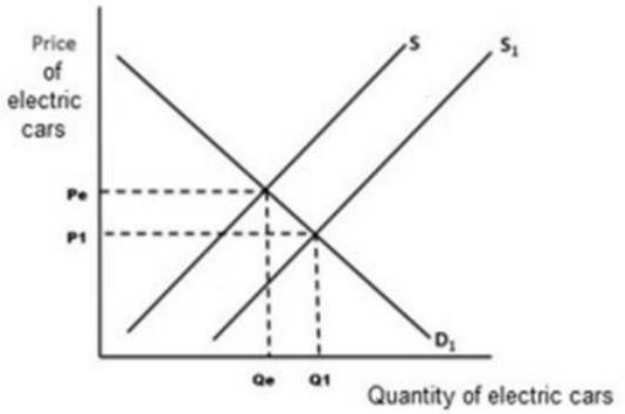
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 13 of 17 · Question 1 part d · 1 mark

2023 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 13 of 17 · Question 1 part d · 1 mark

2023 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 13 of 17 · Question 1 part d · 1 mark

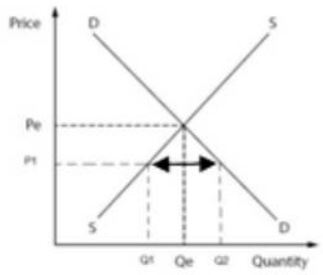
2023 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

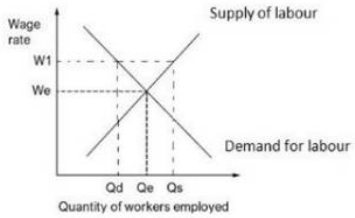
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 14 of 17 · Question 2 part b · 1 mark

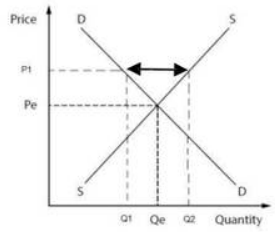
2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	**Mark**

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is:  **C** A is not correct because this shows excess demand B is not correct because this shows an increase in supply D is not correct because this shows a movement along the supply curve	**(1)**

Question number	Which **one** of the following is a feature of a monopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** The firm is a price-maker A is not correct because there is only one firm B is not correct because there would only be one firm in a monopoly D is not correct because barriers to entry would be high in a monopoly	**(1)**

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is -1.9 and the price falls by 10%. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation -10% x -1.9 **(1)** Award 1 mark for correct change in quantity demanded = 19% **(1)** Award 2 marks if the change in quantity demanded is correctly calculated as 19%, even if no calculations are shown Award 1 mark if the change in quantity demanded is calculated as 19, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social benefits? **Answer**	Mark
2(d)	**AO1 1 mark** Award up to 2 marks for a correct definition Private benefits **(1)** plus external benefits **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of an oligopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Barriers to entry **(1)** therefore fewer firms can enter the market **(1)** OR Different products **(1)** to stand apart from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Managers may have the objective of maximising sales **(1)**. Selling at a 10% discount means lower revenue per sale, so the shop may not maximise profit **(1),** but it may result in higher/more sales due to the lower price **(1)** • Managers may have different objectives to owners **(1)** Mostafa may want to maximise sales because it affects his salary **(1)**. The more he sells the higher his salary will be **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because its effects are felt by those not producing or using the plastic bags • One method of government intervention to reduce negative externalities is the use of regulation • Regulation, such as the ban on single-use plastic bags, will limit the amount of pollution produced and reduce the externalities due to penalties if it is not followed • The ban in Kenya has led to a cleaner environment as the reduced consumption means the visual pollution and danger to livestock is less of a problem • Therefore, the regulation has been quite effective in reducing the negative externality **AO4** • However, the regulation has not solved the problem of pollution in Kenya • It costs money and takes time to monitor any illegal activity, causing an opportunity cost • The effectiveness of the regulation depends on the level of enforcement by the government and cooperation from the public • There are likely to be other problems, aside from plastic bags causing pollution in Kenya, which may need to be addressed by other methods than regulation • Other methods of government intervention may be more effective, such as fines or taxation

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 15 of 17 · Question 2 part e · 2 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	An increase in which **one** of the following is most likely to cause a decrease in the supply of labour? **Answer**	**Mark**

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Oligopoly A is not correct because only one firm would dominate C is not correct because this is not related to the market share D is not correct because the diagram shows sales and not levels of employment	**(1)**

Question number	Which **one** of the following is a reason why consumers may not maximise their benefit? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Consumers may not accurately calculate benefits B is not correct because consumers may have habits that are hard to give up C is not correct because consumers do sometimes copy the behaviour of others D is not correct because consumers are not always rational when making decisions	**(1)**

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation €3 000 + €18 000 **(1)** Award 1 mark for calculating total variable costs = €21 000 **(1)** Award 2 marks if total variable costs are correctly calculated as €21 000, even if no calculations are shown Award 1 mark if the total variable costs are calculated as 21 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term total revenue? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of money gained **(1)** from the sale of all products **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature High barriers to entry **(1)** therefore new firms cannot enter the market **(1)** OR Unique product **(1)** to allow the firm to remain alone in the market **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The legislation would increase the competition **(1)** therefore increasing the choice of taxis **(1)** meaning it will be easier for the public to find/hire a taxi **(1)** • The legislation would reduce barriers to entry **(1)** reducing the power of taxi firms to charge high fares **(1)** meaning it would be cheaper for the public to travel **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages for workers by putting pressure on employers during negotiations • In this case a major strike was organised by the trade unions, which makes employers more likely to negotiate • Verdi is Germany's second largest trade union, meaning it could have a lot of influence on employers • 2.5 million transport workers were helped by the union, in obtaining a 5.5% pay increase • Therefore, other firms may be willing to discuss wages with trade unions in order to benefit from increased productivity and/or reduced disruption **AO4** • However, the effectiveness of the trade unions depends upon how many members support the strike action • Verdi was aiming to increase wages by 10.5% for transport workers, meaning trade union membership was only partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to deliver wage increases • The effectiveness of trade unions may depend on whether firms can pass on increased costs through increased prices, such as higher prices for passengers to travel by train on German railways • The alternative may be reduced profit margins for the transport firms, meaning they would be less likely to agree to pay increases

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Oligopoly: features, collusion and effects

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Which **one** of the following is most likely to cause a shift to the left of the demand curve? **Answer**	**Mark**

Type MS · Oligopoly: features, collusion and effects

Answer 17 of 17 · Question 1 part i · 6 marks

2025 NOV · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Secondary A is not correct because this is not a sector of the economy in which production occurs B is not correct because this would involve the extraction of raw materials D is not correct because this involves the use of services	**(1)**

Question number	Wood is an example of which **one** of the following factors of production? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Land A is not correct because this would be man-made B is not correct because this would be the combining of factors C is not correct because this would include workers	**(1)**

Question number	What is meant by the term total costs? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition (Total) fixed costs plus **(1)** (total) variable costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 17 of 17 · Question 1 part i · 6 marks

2025 NOV · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question number	State the formula for social benefits. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

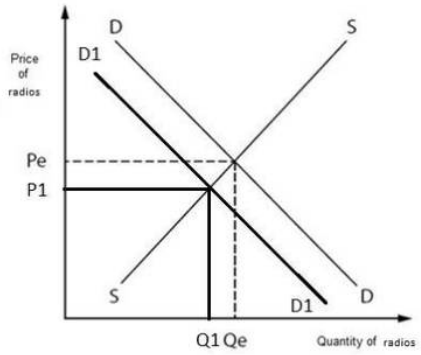
Question number	Define the term substitute good. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Goods bought as a suitable alternative to another good Accept any other appropriate response	**(1)**

Question number	Calculate the **excess demand** in March for the sunglasses. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1,350 - (639 + 715 + 516) **(1)** **OR** 1,350 - 1,870 **(1)** Award 1 mark for calculating correct excess demand = 520 (pairs of sunglasses) **(1)** Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Oligopoly: features, collusion and effects

Answer 17 of 17 · Question 1 part i · 6 marks

2025 NOV · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the demand curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Oligopoly: features, collusion and effects

Answer 17 of 17 · Question 1 part i · 6 marks

2025 NOV · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The anti-competitive practice of collusion means firms are able to act like a monopoly • This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants • Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent • Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from • As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Oligopoly: features, collusion and effects

Answer 17 of 17 · Question 1 part i · 6 marks

2025 NOV · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Which **one** of the following is the correct label to replace 'X'? **Answer**	Mark